

## FIDUCIARY DOCUMENTATION · CHECKLIST

# Your Fiduciary File.

Five categories of pharmacy-benefit documentation courts evaluate when assessing prudent process. Required records, what "good" looks like, and the one-page test that reveals your gaps. Litigation does not wait for next quarter.

## 01 The Five Documentation Categories

Check off each item currently in your file. Anything unchecked is a gap worth closing this quarter.

### PBM Selection and Procurement

Decision trail · pre-signing

*What good looks like:* a dated memo before signing that explains the decision and lists the alternatives considered.

- |                                                                                         |                                                                                              |
|-----------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------|
| <input type="checkbox"/> RFP document with evaluation criteria defined before proposals | <input type="checkbox"/> Proposals from at least three PBM candidates                        |
| <input type="checkbox"/> Evaluation matrix scoring each proposal against criteria       | <input type="checkbox"/> Selection committee meeting minutes and rationale memo              |
| <input type="checkbox"/> Conflict of interest disclosures from committee members        | <input type="checkbox"/> Evidence of clinical / financial / legal expertise on the committee |

### Contract Negotiation

Redline trail · not a clean signature

*What good looks like:* evidence you did not sign the PBM's standard contract unchanged. A clean signature page is the gap.

- |                                                                                              |                                                                                                 |
|----------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|
| <input type="checkbox"/> Redlined contracts showing changes from PBM's initial terms         | <input type="checkbox"/> Legal review from benefits counsel (not just general counsel)          |
| <input type="checkbox"/> Benchmark analysis comparing your terms to market                   | <input type="checkbox"/> Documentation of negotiated pricing guarantees and rebate pass-through |
| <input type="checkbox"/> Documentation of negotiated audit rights and termination provisions | <input type="checkbox"/> Side letters and amendments with execution dates                       |

### Ongoing Performance Monitoring

Quarterly cadence · most common gap

*What good looks like:* quarterly records showing someone reviewed the numbers against guarantees and acted on shortfalls.

- |                                                                                           |                                                                                  |
|-------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------|
| <input type="checkbox"/> Quarterly PBM performance reports against contract guarantees    | <input type="checkbox"/> Independent analysis verifying PBM-reported performance |
| <input type="checkbox"/> Documentation of guarantee shortfalls and how they were resolved | <input type="checkbox"/> Annual benchmarking against market comparators          |
| <input type="checkbox"/> Clinical program outcomes data and review                        | <input type="checkbox"/> Committee meeting minutes reviewing the quarterly data  |

### Renewal and Amendment

Market check · not auto-renewal

*What good looks like:* evidence renewal was a decision, not automatic. Auto-renewals are the easiest plaintiff gap.

- |                                                                                                 |                                                                                     |
|-------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|
| <input type="checkbox"/> Market check or RFP at renewal (even if you stay with the current PBM) | <input type="checkbox"/> Analysis comparing renewal terms to what else is available |
| <input type="checkbox"/> Documentation of what you negotiated at renewal                        | <input type="checkbox"/> Rationale memo for the renewal decision                    |
| <input type="checkbox"/> Amendment tracking log with execution dates                            |                                                                                     |

### Committee Governance

Cadence + minutes · documented decisions

*What good looks like:* regular documented meetings where pharmacy decisions are discussed, data reviewed, actions recorded.

- |                                                                                              |                                                                                |
|----------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------|
| <input type="checkbox"/> Named fiduciary or committee charter for pharmacy benefit oversight | <input type="checkbox"/> Regular meeting schedule, quarterly at minimum        |
| <input type="checkbox"/> Meeting agendas with pharmacy items called out                      | <input type="checkbox"/> Meeting minutes with decisions and rationale recorded |
| <input type="checkbox"/> Attendee lists showing consistent participation                     | <input type="checkbox"/> Action items with completion tracking across meetings |

*Illustrative documentation framework for educational purposes. No checklist substitutes for qualified ERISA counsel. Use this to identify gaps; engage benefits counsel to remediate them.*

## 03 The One-Page Test

If a plaintiff's attorney asked you to demonstrate prudent pharmacy-benefit process today, could you produce these five documents within 24 hours? If any of the five is missing, that gap is your exposure. Start building it now. Not next quarter. Now.

### DOCUMENT 1 · SELECTION

#### **A selection rationale memo dated before contract signing.**

References the evaluation criteria, names the alternatives considered, and explains why this PBM was chosen over the others. The date matters: a memo written after the fact does not demonstrate prudent process.

### DOCUMENT 2 · NEGOTIATION

#### **Evidence of contract negotiation, not just acceptance.**

Redlines, side letters, market benchmark analysis, or counsel memos showing terms were tested before being signed. A clean signature page with no negotiation trail is the documentation gap plaintiffs look for first.

### DOCUMENT 3 · MONITORING

#### **Quarterly performance monitoring documentation.**

Performance reports against contract guarantees with evidence someone reviewed them and acted on shortfalls. Annual reports without quarterly review are insufficient; the standard is ongoing prudent oversight.

### DOCUMENT 4 · RENEWAL

#### **A renewal evaluation showing alternatives were considered.**

Market check, renewal benchmarking analysis, or rationale memo demonstrating renewal was a decision, not an automatic continuation. Apply this even if you stay with the incumbent PBM.

### DOCUMENT 5 · GOVERNANCE

#### **Committee meeting minutes with pharmacy-specific decisions recorded.**

A consistent quarterly cadence of documented committee meetings where pharmacy data is reviewed, decisions are made, and actions are tracked to completion. Ad hoc and undocumented decision-making is the highest-risk pattern.

## 04 Closing Documentation Gaps This Quarter

If the One-Page Test surfaces missing documents, the fix is to start building forward, not to manufacture backdated records. Three steps to take this quarter, in this order:

### § **Audit your existing documentation trail**

Pull the file. Map what exists against the five categories above. Catalog the gaps in writing. The audit itself is the first piece of documentation; date it, save it, and reference it in committee minutes.

### § **Establish a documentation protocol going forward**

Define what gets created at each touch point with the PBM: every renewal, every amendment, every quarterly review. Assign an owner. Decide where files live. The protocol exists once; the files compound from there.

### § **Engage benefits counsel for a fiduciary file review**

Once the audit is complete, share it with qualified ERISA counsel. They will identify priority remediation items based on current case law. The cost of this review is materially less than the cost of being unprepared in litigation.

### § **Document the new cadence in committee charter**

Update the committee charter to reflect the documentation protocol and quarterly review cadence. Distribute, get sign-off, and reference the updated charter in the next meeting minutes. The charter is itself fiduciary evidence.